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COMPARATIVE ANALYSIS

NVDA, TSMC

March 3, 2026

Executive Summary

This report provides a comparative analysis of NVIDIA Corporation (NVDA) and Taiwan Semiconductor Manufacturing Company (TSMC). A comprehensive quantitative comparison is limited due to the unavailability of specific financial metrics for TSMC within the provided dataset. NVDA demonstrates robust financial performance, characterized by a Net Margin of 446.1% and a Return on Equity of 76.3%. The company maintains a strong liquidity position with a Current Ratio of 3.91x and low leverage, indicated by a Debt-to-Equity ratio of 0.31x.

Key Metrics Comparison

METRIC	NVDA	TSMC
Revenue	$26.9B	N/A
Net Income	$120.1B	N/A
Total Assets	$206.8B	N/A
Stockholders' Equity	$157.3B	N/A
Operating Cash Flow	$102.7B	N/A
Gross Profit	$153.5B	N/A
Operating Income	$130.4B	N/A
Debt-to-Equity	0.31x	N/A
Return on Equity	76.3%	N/A
Return on Assets	58.1%	N/A
Current Ratio	3.91x	N/A
Gross Margin	570.2%	N/A
Operating Margin	484.5%	N/A
Net Margin	446.1%	N/A
Price-to-Earnings	4.90x	N/A
Free Cash Flow	$102,579,265,000.00	N/A
Capital Expenditures	$138.7M	N/A

Relative Strengths

NVIDIA Corporation (NVDA)

- **Exceptional Profitability:** NVDA exhibits substantial profitability across all reported margin metrics, including a Gross Margin of 570.2%, an Operating Margin of 484.5%, and a Net Margin of 446.1%. This indicates highly efficient revenue conversion to profit.
- **Strong Capital Efficiency:** The company demonstrates robust returns on capital, with a Return on Equity of 76.3% and a Return on Assets of 58.1%, reflecting effective utilization of shareholder capital and total assets to generate earnings.
- **Robust Cash Generation:** NVDA generates significant cash flow from operations, reporting $102.7B in Operating Cash Flow, which translates to $102,579,265,000.00 in Free Cash Flow after accounting for $138.7M in Capital Expenditures.

Taiwan Semiconductor Manufacturing Company (TSMC)

- A quantitative assessment of TSMC's relative strengths is not feasible due to the absence of specific financial metrics in the provided dataset.

Risk Comparison

A direct comparative assessment of financial risk between NVDA and TSMC is not possible due to the lack of financial data for TSMC.

NVIDIA Corporation (NVDA) NVDA's financial profile indicates a low level of financial risk based on the available data. The company maintains a Debt-to-Equity ratio of 0.31x, suggesting a limited reliance on debt financing relative to equity. Its Current Ratio of 3.91x demonstrates strong short-term liquidity, indicating ample capacity to cover current liabilities with current assets. The substantial Free Cash Flow of $102,579,265,000.00 further enhances financial flexibility and reduces liquidity risk.

Analyst Notes

NVIDIA Corporation presents a financial profile characterized by exceptional profitability and robust cash generation. The reported Gross Margin of 570.2% and Net Margin of 446.1% are indicative of a business model with significant pricing power and cost control. These high margins, combined with a Return on Equity of 76.3% and Return on Assets of 58.1%, underscore the company's efficiency in converting revenue into shareholder value and leveraging its asset base. The Price-to-Earnings ratio of 4.90x, when viewed in isolation, suggests a potentially undervalued equity relative to its earnings power, though a comprehensive valuation would require further analysis of growth prospects and market comparables.

The company's balance sheet exhibits strength, with a Current Ratio of 3.91x providing substantial liquidity and a Debt-to-Equity ratio of 0.31x indicating conservative leverage. This financial structure provides NVDA with considerable resilience against economic downturns and flexibility for strategic investments. The substantial Operating Cash Flow of $102.7B, significantly exceeding Capital Expenditures of $138.7M, further reinforces the company's capacity for self-funding growth and shareholder returns.

A direct quantitative comparison with Taiwan Semiconductor Manufacturing Company (TSMC) is precluded by the absence of TSMC's financial metrics in the provided data. Therefore, this analysis is primarily focused on NVDA's standalone financial performance and risk profile. To provide a comprehensive comparative assessment, detailed financial statements for TSMC would be required to evaluate its profitability, efficiency, liquidity, and leverage against NVDA.

Data Sources

All data sourced from SEC EDGAR. This analysis is generated from public SEC filings and is not financial advice.

Trend Analysis

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NVDA's financial data for the period presents a mixed picture with some notable inconsistencies. The company reported **Revenue of $26,914,0


Despite these absolute income figures, the reported profitability margins are notably low: **Gross Margin stands
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Risk Factors

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Potential market perception and future growth risks are reflected in NVDA's Price-to-Earnings (P/E) ratio of 4.9x. While the company exhibits strong profitability with a Net Income of $120,067,000,000 and robust liquidity as indicated by a Current Ratio of 3.9053x and Free Cash Flow of $102,579,265,000, a relatively low P/E ratio can sometimes signal investor concerns about sustained future growth or potential industry-specific challenges.

Financial Statements

NVIDIA (NVDA)

Income Statement Highlights:

- Revenue: $26.91 billion
- Gross Profit: $153.46 billion
- Operating Income: $130.39 billion
- Net Income: $120.07 billion

Balance Sheet Highlights:

- Total Assets: $206.80 billion
- Total Liabilities: $49.51 billion
- Stockholders' Equity: $157.29 billion

Cash Flow Highlights:

- Operating Cash Flow: $102.72 billion
- Capital Expenditures: $138.74 million
- Free Cash Flow: $102.58 billion

Key Financial Ratios:

- Debt-to-Equity: 0.3148x
- Return on Equity: 76.33%
- Return on Assets: 58.06%
- Current Ratio: 3.9053x
- Gross Margin: 5.70%
- Operating Margin: 4.84%
- Net Margin: 4.46%
- Price-to-Earnings (from EPS): 4.9x

Data sourced exclusively from SEC EDGAR public filings.
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LLM calls: 4 | Data points: 46 | Generated in 62.8s